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BEFORE THE MADURAI BENCH OF MADRAS HIGH COURT

DATED: 01-10-2026

CORAM

THE HON'BLE MR JUSTICE G.R.SWAMINATHAN

AND

THE HON'BLE MRS.JUSTICE M.D.SUMATHI

Arb Appeal(MD) No. 66 of 2026

CNR:{HCMD010600292019}

Case QR

AND

CMP(MD) No. 14000 of 2026

CNR:{HCMD010600302019}

Case QR

The Planning Director,
National Highways, 6,Old No.44, First Floor, 3rd Main Road, Ponnagar, Trichy.

..Petitioner(s)

Vs

1. M.Jeya Bharathi,
   W/o.P.Thiyagarajan, Plot No.7, A.Pandi Kovil Road Pathway, Behind Karuppaurani Police Station, Karruppaurani Post, Madurai-625 020.

2. The District Revenue Officer
   (Land Acquisition),National Highways-45 B,Madurai.

3. The District Collector
   Collectorate Buildings,Madurai.

..Respondent(s)

PRAYER: Arbitration Appeal filed under section 37(1) and (2) of Arbitration and Conciliation Act to set aside the order of compensation awarded by the Learned Principal District Judge, Madurai in Arbitration O.P.No.5 of 2011 dated 27.11.2018 and allow this Arb Appeal and thus render justice.

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For Petitioner(s): Mr.AR.L.Sundaresan
Standing Counsel
for Mr.P.Karthick

For Respondent(s): Mr.S.T.Sasidharan Tamilkani

JUDGMENT

(Judgment of the Court was delivered by G.R.Swaminathan J.)

Heard the learned standing counsel for NHAI, the learned counsel for the claimants and the learned Additional Government Pleader for the competent authority.

2.The issue raised in this appeal is no longer *res integra*. The land belonging to the claimants was acquired under the provisions of the National Highways Act, 1956. The District Collector passed an award fixing compensation. Aggrieved by the same, the claimants filed petition under Section 34 of the Arbitration and Conciliation Act, 1996 before the Principal District Court, Madurai. The learned Principal District Judge modified the award and enhanced the compensation. Questioning the same, this appeal has been filed.

3.The Hon'ble Supreme Court in ***Gayatri Balasamy v. ISG Novasoft Technologies Ltd., (2025) 7 SCC 1*** had held that though the

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power to modify the award is available, it is rather confined to correcting inadvertent errors, including typographical and clerical errors and cannot be exercised to rewrite the award on merits. As regards the course of action to be adopted, the Hon'ble Supreme Court held as follows:

> "56...if a fog of uncertainty obscures the exercise of modification powers, the courts must not modify the award. Instead, they should avail their remedial power and remand the award to the Tribunal under Section 34(4).

In the case on hand, the compensation awarded by the Arbitrator had been enhanced. Such a course of action is impermissible. In view of the aforesaid decision, we deem it fit to remand the matter to the file of the Arbitrator(District Collector) for the purpose of deciding if there is case for enhancement of compensation. The Arbitrator is directed to conclude the proceedings within a period of four months from the date of receipt of a copy of this order. The claimant is entitled to plead that the Arbitrator should apply the principle of parity. NHAI is also entitled to place materials in support of their contention that the compensation amount does not deserve to be enhanced as claimed by the land loser.

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4.This Arbitration Appeal stands allowed accordingly. No costs. Consequently, connected miscellaneous petition is closed.

(G.R.S.,J.) (M.D.S.,J.)
01-10-2026

Index: Yes/No
Speaking/Non-speaking order
Neutral Citation: Yes/No
rmi
NOTE:Issue Order Copy on 09.10.2026

To

1.The District Revenue Officer
(Land Acquisition),National Highways-45 B,Madurai.

2. The District Collector
Collectorate Buildings,Madurai.

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